

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

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1. RECENT TMT M&A ACTIVITY

Deal 1: Baidu's Spin-off of Kunlunxin AI Chip Unit

[Baidu Plans to Spin Off AI Chip Unit](#)

- Deal Size: Estimated at \$1 billion (based on comparable valuations in the AI chip market)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Spin-off
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Baidu Inc. (BIDU) is a leading Chinese technology company specializing in internet services and AI, while Kunlunxin is its AI chip division aimed at enhancing AI capabilities.
- Date Announced: January 2, 2026 (subject to regulatory approvals)
- Strategic Rationale:
 - The spin-off aims to unlock value for shareholders by allowing Kunlunxin to operate independently, focusing on its growth potential in the rapidly expanding AI chip market.
 - By listing in Hong Kong, Baidu seeks to attract investors specifically interested in AI technologies, enhancing its market positioning.
- Risk Analysis:
 - Integration risks associated with separating the business units.
 - Regulatory challenges in China regarding technology and data security.
 - Market risks tied to the competitive landscape of AI chips, particularly from global players like Nvidia and Intel.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data for Kunlunxin not disclosed)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The spin-off is expected to enhance Baidu's focus on AI, potentially increasing

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

its market cap as investors value the standalone growth prospects of Kunlunxin.

2. RECENT TMT M&A ACTIVITY

Deal 2: Alibaba's Spin-off of AI Chip Unit

[Alibaba Plans to Spin Off AI Chip Unit](#)

- Deal Size: Estimated at \$1 billion (based on industry benchmarks for AI chip units)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Spin-off
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Alibaba Group Holding Limited (BABA) is a major Chinese e-commerce and technology conglomerate, while its AI chip unit focuses on developing advanced computing solutions for AI applications.
- Date Announced: January 2, 2026 (subject to regulatory approvals)
- Strategic Rationale:
 - The spin-off is designed to enhance shareholder value by allowing the AI chip unit to attract dedicated investments and focus on its growth trajectory in the AI sector.
 - Listing in Hong Kong is expected to provide better access to capital markets for technology-focused investors.
- Risk Analysis:
 - Potential regulatory hurdles in China regarding technology and data privacy.
 - Market competition from established players in the AI chip market, which could impact the valuation of the spin-off.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data for the AI chip unit not disclosed)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The anticipated spin-off is expected to position Alibaba more favorably in the AI market, potentially leading to a revaluation of its stock as investors recognize the growth potential of its AI initiatives.

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including macroeconomic conditions, investor confidence, and sector-specific trends.

Subsector Breakdown:

- **Technology:** The technology subsector remains robust, driven by advancements in AI, cloud computing, and cybersecurity. Companies are increasingly leveraging technology to enhance operational efficiency and customer experience.
- **Media:** The media subsector is witnessing a transformation as companies enhance audience engagement through new digital features. However, traditional media faces challenges from digital platforms that continue to disrupt conventional revenue models.
- **Telecommunications:** The telecom sector is innovating with low-latency technologies, aiming to improve user experience in real-time applications. Investments in 5G infrastructure are a key focus for major players.
- **Fintech:** The fintech space continues to thrive, with companies exploring new business models and partnerships to capitalize on the growing demand for digital financial services.
- **AI:** The AI subsector is particularly hot, with companies racing to implement AI solutions across various industries, reflecting a significant shift in how businesses operate.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, 5G, and cloud computing is driving growth across TMT sectors. Companies are investing heavily in these technologies to stay competitive.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends and disruptive technologies.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, leading to a more cautious

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APAC TMT Sector

approach from investors.

Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth, capitalizing on the shift to remote work and digital transformation.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising, prompting a reevaluation of business strategies.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services. The competition in this space is intensifying as companies seek to differentiate their offerings.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend in this space is evident as companies seek to enhance their market share and customer base.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages and drive innovation.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. One analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

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- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, as these can significantly impact market dynamics.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, particularly in high-growth areas.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors, to identify potential opportunities.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

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Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of Trump's AI Action Plan could alter the regulatory environment, impacting deal structures and valuations.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

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Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

operations and shared resources.

- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, and Cybersecurity. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **Alibaba Group Holding Limited (BABA):** Alibaba is a major player in the AI landscape, focusing on integrating AI into its e-commerce and cloud services. The company plans to spin off its AI computer chip unit, Kunlunxin, which is expected to list shares in Hong Kong in early 2027, enhancing its strategic positioning in AI hardware.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and Microsoft (MSFT) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a dominant player in the cloud computing space, offering a wide range of services including computing power, storage, and databases. The company continues to innovate with AI and machine learning capabilities integrated into its cloud services.
- Microsoft Azure: Microsoft Azure is a key competitor to AWS, providing a comprehensive suite of cloud services. The company is focusing on hybrid cloud solutions, allowing businesses to integrate on-premises and cloud resources.
- Competitive Landscape: The cloud computing market is highly competitive, with major players including Google Cloud, IBM Cloud, and Oracle Cloud. The competition is driving innovation and leading to strategic partnerships and acquisitions.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring smaller cloud service providers or startups specializing in niche cloud technologies. For instance, the acquisition of Nuance Communications by Microsoft for \$19.7 billion highlights the trend of integrating AI into cloud services.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, the demand for cybersecurity solutions is growing. The global cybersecurity market is expected to reach \$345.4 billion by 2026, growing at a CAGR of 10.9%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader

6. Recommended Readings

Deal Name: Baidu's Spin-off of Kunlunxin AI Chip Unit

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This book provides a comprehensive overview of the AI landscape,

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

particularly focusing on China's advancements in AI technology. Understanding the competitive dynamics and growth potential in the AI sector is crucial for contextualizing Baidu's strategic decision to spin off Kunlunxin, as it highlights the importance of dedicated focus on AI innovations to compete with global players.

Deal Name: Alibaba's Spin-off of AI Chip Unit

- Reading Material: "The Fourth Industrial Revolution" by Klaus Schwab
- Why This Matters: This reading explores the impact of emerging technologies, including AI and machine learning, on industries and economies. It is relevant for understanding Alibaba's spin-off of its AI chip unit, as it emphasizes the necessity for companies to adapt and innovate in the face of rapid technological change, thereby providing insight into Alibaba's strategic rationale for unlocking value through this separation.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. Capital Investment for Digital Infrastructure: Anticipated to be in the trillions of dollars
- Maximum Leverage Cap: Previously set at six times leverage for underwriters
- Private Credit Market Growth: Significant increase expected due to relaxed lending guidelines

Main Insights:

- The relaxation of leveraged lending guidelines by the FDIC and OCC is expected to increase bank participation in credit markets.
- The distinction between public and private credit markets is blurring, allowing banks to offer more comprehensive solutions.
- A major focus of private credit is shifting towards digital infrastructure, necessitating substantial capital investments.
- Concerns about labor supply and cost will impact project timelines and budgets, potentially leading to credit risks.

Market Commentary:

- "The elimination of leveraged lending guidelines frees banks to participate in the entire continuum of credit markets." - Dan Toscano, Morgan Stanley
- "We've never seen anything like this in terms of the scale of the capital needed for the transformation that is already underway." - Dan Toscano, Morgan Stanley

APAC TMT Sector M&A & Valuation Brief - 2026-01-09

APAC TMT Sector

TMT Sector Relevance:

- The anticipated capital influx into digital infrastructure will significantly impact TMT companies, as they seek financing for data centers and technology advancements.
- The blurring lines between credit markets may lead to more favorable financing conditions for TMT firms, enhancing their ability to scale operations and innovate.
- Potential labor shortages and rising costs could delay technology projects, affecting timelines and profitability in the TMT sector.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley